Internet Appendix to "The Price of Political Partisanship"

In the Internet Appendix, I provide additional evidence for the findings in the main body. In particular, Section I provides statistics on the persistence in a firm's political stance over time. Section II addresses the observed non-monotonicity in the baseline portfolio sorts. In Section III, I evaluate the sensitivity of the baseline results on the partisanship discount to alternative measurement choices. Then, I explore whether the partisanship discount persists after accounting for various firm characteristics in Section IV. I provide summary statistics on the data used for the demand-system estimation, as well as on the estimated political leaning of institutional investors, in Section V. Lastly, in Section VI, I conduct supplementary analysis reaffirming the robustness of the findings in the main body.

I. Persistence in Political Leaning

Table IA-1 shows the transition matrix for the observed political stance of a firm based on political contributions of its CEOs. It provides the probabilities that a firm has an overhang in donations to the Democratic or Republican party, or is neutral (i.e., makes no contributions), conditional on the currently observed stance across various accumulation windows. Each month, I sort the firms into three buckets based on the Net Rep. Share (Democratic if Net Rep. Share < 0, Neutral if Net Rep. Share $= 0$, and Republican if Net Rep. Share > 0), respectively, for periods of 1, 2, and 4 years. Then, for each bucket, I compute the probabilities of ending up in each of those buckets in the subsequent 1, 2, and 4 years. Overall, Republican-leaning firms are highly likely to maintain this stance over the long term, with an average probability of 76% across the subsequent 4-year combinations. Neutral firms tend to remain neutral with an average probability of 80% 1 year ahead. This, however, drops to an average of 49% over the 4-year period. In contrast to Republican and Neutral firms, Democratic-leaning firms have higher probabilities of switching their political stance, regardless of the period under investigation.

Table IA-1: Transition Probabilities of Political Leaning

This table shows the probabilities of a firm showing a certain party leaning in its CEOs' future political donations (in the subsequent 1, 2, or 4 years) after respectively observing a specific leaning in historical donations (in the past 1, 2, or 4 years). Dem. defines the state when a firm's CEO made more contributions toward Democratic candidates or affiliated PACs in the given time period. Rep. defines the state when a firm's CEO made more contributions toward Republican candidates or affiliated PACs in the given time period. Neut. defines the state when a firm's CEO has not made any political contributions in the given time period.

	Dem.$_{[t:t+1)}$	Neut.$_{[t:t+1)}$	Rep.$_{[t:t+1)}$	Dem.$_{[t:t+2)}$	Neut.$_{[t:t+2)}$	Rep.$_{[t:t+2)}$	Dem.$_{[t:t+4)}$	Neut.$_{[t:t+4)}$	Rep.$_{[t:t+4)}$
Dem.$_{[t-1:t)}$	0.47	0.20	0.33	0.50	0.11	0.39	0.48	0.06	0.45
Neut.$_{[t-1:t)}$	0.08	0.77	0.16	0.12	0.63	0.25	0.17	0.45	0.37
Rep.$_{[t-1:t)}$	0.14	0.18	0.67	0.15	0.11	0.75	0.14	0.06	0.80
Dem.$_{[t-2:t)}$	0.44	0.26	0.30	0.48	0.16	0.36	0.48	0.09	0.43
Neut.$_{[t-2:t)}$	0.06	0.81	0.12	0.11	0.68	0.21	0.16	0.50	0.34
Rep.$_{[t-2:t)}$	0.14	0.24	0.62	0.15	0.15	0.71	0.14	0.09	0.77
Dem.$_{[t-4:t)}$	0.40	0.33	0.28	0.45	0.22	0.34	0.46	0.13	0.40
Neut.$_{[t-4:t)}$	0.06	0.83	0.11	0.10	0.71	0.19	0.16	0.52	0.32
Rep.$_{[t-4:t)}$	0.14	0.29	0.57	0.14	0.20	0.66	0.15	0.12	0.73

II. Non-Monotonicity

As discussed in Section 3.3, the portfolio sorts based on the level of political partisanship exhibit a non-monotonic pattern in both returns and alphas. Specifically, the intermediate (low partisan) portfolio shows lower average performance than both the neutral and highly partisan portfolios. This counterintuitive pattern stems largely from an unintended size effect. Firms with moderate levels of partisanship tend to be larger, on average, than firms in the neutral or highly partisan buckets. Since large-cap firms are known to display lower average returns, this inadvertently distorts the raw return patterns and may mask the true pricing effect of partisanship.

To validate this explanation and disentangle size-related distortions, Table IA-2 presents conditional double sorts, first by firm size (market capitalization terciles) and then by political partisanship within each size group. The results show that the previously observed non-monotonicity disappears once firm size is accounted for. In particular, the negative return differential between partisan and neutral firms becomes consistently monotonic across all size groups, with higher partisanship associated with lower average returns and more negative alphas. This confirms that the earlier non-monotonic pattern is driven by a size imbalance across partisanship levels rather than an inherent irregularity in the pricing of partisanship itself.

As a complementary approach, Table IA-3 reports Fama-MacBeth regressions in which the political partisanship variable is replaced with a categorical variable representing three distinct groups: neutral firms, low-partisan firms ($0 <$ Partisanship $\leq 2/3$), and high-partisan firms ($2/3 <$ Partisanship). The neutral group serves as the reference category. The results show that both low- and high-partisan firms underperform neutral firms, with statistically significant negative coefficients for both dummy variables. However, more importantly, unreported results indicate that the coefficient on the high-partisan dummy is significantly lower than that on the low-partisan dummy.

Table IA-2: Bivariate Portfolio Sorting on Size

This table presents the average monthly excess returns for three × three portfolios dependently sorted on market capitalization and then on firms' level of partisanship. The sorting on market capitalization is reported across rows S, M, and L, containing small, medium-sized, and large firms, respectively. The last row represents the average value per column across the size groups. The columns represent the sorting on the level of partisanship, where N are politically neutral firms, L are low partisanship firms, H are high partisanship firms, and H-N is the high-minus-neutral portfolio. Portfolios are equally weighted and rebalanced monthly. The sample covers the period from 1990 to 2022. For each portfolio, I report the average excess return and FF6 alpha. The t-statistics shown in parentheses are calculated using Newey-West corrected standard errors. I indicate significance at the 10%, 5%, and 1% level by *, **, and ***, respectively.

	E[R]-R_f (%)				α_{FF6}			
	N	L	H	H-N	N	L	H	H-N
S	2.32***	1.80***	1.78***	-0.54***	1.57***	1.01***	0.96***	-0.61***
	(6.22)	(4.81)	(4.82)	(-4.75)	(9.45)	(6.79)	(6.27)	(-5.59)
M	1.08***	1.01***	0.95***	-0.13	0.29***	0.14**	0.10	-0.19**
	(3.62)	(3.99)	(3.67)	(-1.28)	(3.06)	(2.37)	(1.64)	(-2.25)
L	0.99***	0.81***	0.76***	-0.23**	0.34***	0.07	0.02	-0.33***
	(3.33)	(3.60)	(3.23)	(-1.98)	(4.30)	(1.44)	(0.37)	(-3.85)
∅	1.46***	1.21***	1.16***	-0.30***	0.74***	0.41***	0.36***	-0.38***
	(4.79)	(4.42)	(4.23)	(-3.34)	(8.57)	(6.48)	(5.23)	(-5.60)

Table IA-3: Fama-MacBeth Regression with Partisanship Level Dummies
This table shows the results from Fama-MacBeth regressions, where monthly excess stock returns are regressed on firms' political partisanship. Instead of the continuous partisanship measure of Table 5, I include two dummy variables indicating the magnitude of partisanship. The first dummy variable is 1 if a firm's political partisanship is greater than 0 and less than or equal to 2/3, 0 otherwise. The second dummy variable is 1 if a firm's political partisanship is greater than 2/3, 0 otherwise. The regressions are estimated cross-sectionally for each month over the sample period from 1990 to 2022. I control for the logarithm of market capitalization, the logarithm of book-to-market ratio, profitability, leverage, tangibility, earnings growth, momentum, market beta, and idiosyncratic volatility, and include industry fixed effects based on 2-digit SIC codes. The t-statistics shown in parentheses are calculated using Newey-West corrected standard errors. I indicate significance at the 10%, 5%, and 1% level by *, **, and ***, respectively.

$\mathbb{1}(0 < \text{Partisanship} \leq 2/3)$	-0.13**
	(-2.38)
$\mathbb{1}(\text{Partisanship} > 2/3)$	-0.21***
	(-3.48)
Controls	Yes
Industry FE	Yes
Observations	607,639
R^2	0.27

III. Measurement Robustness

To ensure that the observed partisanship discount is not driven by specific portfolio construction choices or by the definition and aggregation of the partisanship measure, this subsection presents several robustness checks. Particularly, these tests examine whether the baseline results hold when (1) alternative portfolio sorting schemes are used, (2) portfolio returns are computed differently, (3) the definition of political partisanship is modified, and (4) the aggregation window for the political leaning variable is varied.

Table IA-4 shows the results of portfolio sorts with an increased lag in the assumed availability of the partisanship measure. Whereas the baseline specification in Table 2 uses firms' partisanship at the beginning of the month over which the return is computed, in Table IA-4 I use the available partisanship with a six-month lag. The results do not significantly deviate from the baseline setting.

Table IA-4: Lagged Portfolio Sorting

This table presents the average monthly excess returns for three portfolios constructed based on firms' political partisanship with a six-month lag. N are politically neutral firms, L are low partisanship firms, H are high partisanship firms, and H-N is the high-minus-neutral portfolio. Portfolios are equally weighted and rebalanced monthly. The sample covers the period from 1990 to 2022. For each portfolio, I report the average excess return and FF6 alpha. The *t*-statistics shown in parentheses are calculated using Newey-West corrected standard errors. I indicate significance at the 10%, 5%, and 1% level by *, **, and ***, respectively.

	L	M	H	H-L
E[R]-R_f (%)	1.56***	1.13***	1.15***	-0.41***
	(4.85)	(4.29)	(4.16)	(-4.58)
α_{FF6}	0.83***	0.32***	0.33***	-0.50***
	(8.23)	(5.91)	(4.81)	(-6.26)

Table IA-5 presents results from an alternative portfolio sort in which firms are assigned to tercile portfolios based on their political partisanship. This contrasts with the baseline specification in Table 2, which groups firms into a neutral group and then splits partisan firms at the median of nonzero values. While the sorting methodology differs, the findings are qualitatively unchanged. Firms with stronger political leanings continue to underperform firms with low observed partisanship in terms of both excess returns and FF6 alphas.

Table IA-5: Tercile Portfolio Sorting

This table presents the average monthly excess returns for three portfolios. The portfolios are constructed by splitting all firms into terciles based on political partisanship. Compared to Table 2, politically neutral firms are not separated before the sorting. L are low partisanship firms (including politically neutral firms), H are high partisanship firms, and H-L is the high-minus-low portfolio. Portfolios are equally weighted and rebalanced monthly. The sample covers the period from 1990 to 2022. For each portfolio, I report the average excess return and FF6 alpha. The *t*-statistics shown in parentheses are calculated using Newey-West corrected standard errors. I indicate significance at the 10%, 5%, and 1% level by *, **, and ***, respectively.

	L	M	H	H-L
E[R]-R_f (%)	1.44***	1.14***	1.16***	-0.28***
	(4.91)	(4.17)	(4.24)	(-3.94)
α_{FF6}	0.71***	0.32***	0.36***	-0.35***
	(7.81)	(5.13)	(5.10)	(-5.71)

Table IA-6 presents a robustness test aimed at ensuring that the observed return differentials across partisanship portfolios are not driven by specific return computation methods. I report results based on value-weighted portfolio returns, addressing concerns that equal-weighted returns in the baseline specification may overweight small firms.[1] The negative return spread between highly partisan and neutral firms remains economically meaningful and statistically significant.

To address the related concern that Fama-MacBeth estimates are driven by small or illiquid stocks (see Hou et al., 2020), I estimate a weighted least squares Fama-MacBeth regression, weighting by market equity, in which monthly excess returns are regressed on the political partisanship measure along with standard controls. Table IA-7 shows the results of this regression. Even though the *t*-statistic of the coefficient on the partisanship measure gets reduced when using weighted least squares compared to using ordinary least squares in Table 5, the economic magnitude of the coefficient remains stable.

Table IA-8 evaluates robustness to alternative definitions of the perceived political partisanship. First, I construct a measure based on net Republican contributions of the CEO in dollars rather than the net Republican share in the historical donations.

[1] To ensure that mega stocks do not dominate portfolio construction here, I weight stocks by their market equity, winsorized at the NYSE 80th percentile, following Jensen et al. (2023).

Table IA-6: Value-Weighted Returns

This table presents the average monthly excess returns for three portfolios constructed based on firms' political partisanship. N are politically neutral firms, L are low partisanship firms, H are high partisanship firms, and H-N is the high-minus-neutral portfolio. Portfolios are rebalanced monthly. The sample covers the period from 1990 to 2022. I report the excess return weighted by firms' market capitalization, winsorized at the NYSE 80th percentile, and corresponding FF6 alpha. The *t*-statistics shown in parentheses are calculated using Newey-West corrected standard errors. I indicate significance at the 10%, 5%, and 1% level by *, **, and ***, respectively.

	N	L	H	H-N
E[R]-R_f(%)	1.04***	0.82***	0.82***	-0.22**
	(3.54)	(3.63)	(3.39)	(-2.37)
α_{FF6}	0.34***	0.07*	0.05	-0.29***
	(5.34)	(1.81)	(0.99)	(-4.25)

Table IA-7: Fama-MacBeth Regression with Weighted-Least Squares

This table shows the results from weighted least squares Fama-MacBeth regressions with the market equity as the weights, where monthly excess stock returns are regressed on firms' political partisanship. The regressions are estimated cross-sectionally for each month over the sample period from 1990 to 2022. I control for the logarithm of market capitalization, the logarithm of book-to-market ratio, profitability, leverage, tangibility, earnings growth, momentum, market beta, and idiosyncratic volatility, and include industry fixed effects based on 2-digit SIC codes. The *t*-statistics shown in parentheses are calculated using Newey-West corrected standard errors. I indicate significance at the 10%, 5%, and 1% level by *, **, and ***, respectively.

Partisanship	-0.17*
	(-1.68)
Controls	Yes
Industry FE	Yes
Observations	607,639
R^2	0.27

Results based on this partisanship measure are shown in Panel A. Second, I proxy for partisanship using PAC contributions in Panel B. Across these variations, I continue to observe negative return differentials for partisan firms relative to neutral firms.

Table IA-8: Alternative Partisanship Measures
This table presents the average monthly excess returns for three portfolios constructed based on different measures of firms' perceived political partisanship. Panel A uses the net Republican dollar donations over a four-year rolling window to define partisanship. Panel B uses the historical net Republican share in firm-level PAC contributions to define partisanship. N are politically neutral firms, L are low partisanship firms, H are high partisanship firms, and H-N is the high-minus-neutral portfolio. Portfolios are equally weighted and rebalanced monthly. The sample covers the period from 1990 to 2022. For each portfolio, I report the average excess return and FF6 alpha. The t-statistics shown in parentheses are calculated using Newey-West corrected standard errors. I indicate significance at the 10%, 5%, and 1% level by *, **, and ***, respectively.

	N	L	H	H-N
Panel A: CEO Net Donations				
E[R]-R_f(%)	1.48***	1.20***	1.11***	-0.37***
	(4.88)	(4.45)	(4.12)	(-4.32)
α_{FF6}	0.72***	0.43***	0.28***	-0.44***
	(7.59)	(6.41)	(5.02)	(-6.35)
Panel B: PAC Partisanship				
E[R]-R_f(%)	1.39***	0.96***	0.93***	-0.46***
	(4.66)	(3.93)	(3.61)	(-3.51)
α_{FF6}	0.62***	0.19***	0.02	-0.60***
	(6.98)	(3.29)	(0.29)	(-5.61)

Table IA-9 tests the sensitivity of results to the temporal aggregation of donation data when constructing the political leaning measure. I re-estimate the partisanship using rolling aggregation windows of 4 years (Panel A), 2 years (Panel B), and 1 year (Panel C). Then, I replicate the baseline sort using those alternative measures. The pricing effect remains stable across these variations. Stronger partisanship consistently predicts lower future returns.

Table IA-9: Dynamic Partisanship Measure

This table presents the average monthly excess returns for three portfolios constructed based on different versions of the baseline measure of firms' perceived political partisanship as defined in Section 3.1. Panel A uses a four-year rolling window to aggregate the net Republican share, Panel B uses a two-year rolling window to aggregate the net Republican share, and Panel C uses a one-year rolling window to aggregate the net Republican share. N are politically neutral firms, L are low partisanship firms, H are high partisanship firms, and H-N is the high-minus-neutral portfolio. Portfolios are equally weighted and rebalanced monthly. The sample covers the period from 1990 to 2022. For each portfolio, I report the average excess return and FF6 alpha. The *t*-statistics shown in parentheses are calculated using Newey-West corrected standard errors. I indicate significance at the 10%, 5%, and 1% level by *, **, and ***, respectively.

	N	L	H	H-N
Panel A: 4-Year Rolling Window				
E[R]-R_f (%)	1.48***	1.14***	1.17***	-0.31***
	(4.88)	(4.42)	(4.18)	(-4.38)
α_{FF6}	0.72***	0.34***	0.37***	-0.35***
	(7.59)	(5.84)	(5.33)	(-5.65)
Panel B: 2-Year Rolling Window				
E[R]-R_f (%)	1.42***	1.15***	1.14***	-0.29***
	(4.79)	(4.45)	(4.10)	(-4.36)
α_{FF6}	0.66***	0.35***	0.33***	-0.33***
	(7.29)	(6.71)	(4.79)	(-6.21)
Panel C: 1-Year Rolling Window				
E[R]-R_f (%)	1.37***	1.16***	1.14***	-0.23***
	(4.65)	(4.47)	(4.20)	(-3.17)
α_{FF6}	0.60***	0.36***	0.33***	-0.27***
	(7.00)	(6.46)	(4.76)	(-4.76)

IV. Confounding Characteristics

In this section, I assess whether the partisanship discount can be explained by conventional firm-level characteristics commonly associated with asset pricing anomalies. While the main body of the paper already demonstrates that the effect of political partisanship is robust to controls for firm size and other observables in Fama-MacBeth regressions (see Table 5), and also holds in size-conditioned portfolio sorts (see Table IA-2), it remains important to directly investigate whether the return differential between partisan and neutral firms persists within finer partitions of the cross-section sorted by other firm fundamentals.

Table IA-10 reports results from a series of double-sorts in which firms are first sorted into terciles based on a given firm characteristic and then further sorted into three portfolios based on political partisanship within each characteristic group. This procedure is repeated across several characteristics: book-to-market ratio (Panel A), momentum (Panel B), profitability (Panel C), and idiosyncratic volatility (Panel D). The objective is to test whether the partisanship return differential survives within portfolios of firms that are otherwise similar along these dimensions.

Across all firm characteristics, I find that the return differential between the most partisan and neutral firms remains statistically significant within all terciles. This reaffirms the interpretation that the partisanship discount is distinct from known cross-sectional return patterns.

Lastly, I provide an adaptation of the portfolio sort using a return construction that controls for exposures to firm-level characteristics. That is, I use returns in excess of characteristic-based benchmarks following Daniel et al. (1997), which control for expected return differences due to size, book-to-market ratio, and momentum, rather than just computing returns in excess of the risk-free rate in the baseline setting.[2] Table IA-11 shows the results.

[2] To compute the benchmark-adjusted returns for each stock, I form five × five × five portfolios based on size, book-to-market ratio, and momentum. At the beginning of each month, I sort firms into quintile portfolios by market capitalization. Then, the firms in each size group are further sorted into quintile portfolios by book-to-market ratio. Lastly, firms in each of the 25 size and book-to-market portfolios are sorted into quintiles based on previous 12-month returns. For all 125 portfolios, I calculate value-weighted returns. Finally, each stock is assigned to one of those portfolios, and the return of each portfolio is then used as the respective benchmark.

Table IA-10: Bivariate Portfolio Sorting

This table presents the average monthly excess returns for three × three portfolios dependently sorted on a selection of firm characteristics and then on firms' level of partisanship. The rows represent the sorting on the respective firm characteristics with L being the bottom tercile, M being middle tercile, and H being the top tercile. In Panel A, firms are first sorted by book-to-market ratio. In Panel B, firms are first sorted by momentum. In Panel C, firms are first sorted by profitability. In Panel D, firms are first sorted by idiosyncratic volatility. The columns represent the sorting on the level of partisanship, where N are politically neutral firms, L are low partisanship firms, H are high partisanship firms, and H-N is the high-minus-neutral portfolio. Portfolios are equally weighted and rebalanced monthly. The sample covers the period from 1990 to 2022. For each portfolio, I report the average excess return and FF6 alpha. The t-statistics shown in parentheses are calculated using Newey-West corrected standard errors. I indicate significance at the 10%, 5%, and 1% level by *, **, and ***, respectively.

	E[R]-R_f (%)				α_{FF6}			
	N	L	H	H-N	N	L	H	H-N
Panel A: B/M								
L	1.62***	1.05***	1.09***	-0.53***	0.88***	0.26***	0.34***	-0.53***
	(4.54)	(4.23)	(3.91)	(-4.73)	(8.35)	(5.00)	(4.61)	(-5.81)
M	1.27***	0.97***	1.01***	-0.26***	0.48***	0.13**	0.15**	-0.33***
	(4.32)	(4.31)	(3.90)	(-3.05)	(4.24)	(2.14)	(2.10)	(-3.68)
H	1.81***	1.34***	1.33***	-0.48***	1.11***	0.57***	0.54***	-0.57***
	(4.33)	(3.91)	(3.66)	(-3.54)	(5.20)	(5.54)	(4.03)	(-3.56)
Panel B: MOM								
L	1.47***	1.19***	1.17***	-0.31***	0.97***	0.58***	0.55***	-0.43***
	(3.59)	(3.16)	(3.04)	(-3.05)	(5.54)	(5.08)	(3.91)	(-3.79)
M	1.30***	0.98***	0.98***	-0.32***	0.53***	0.17***	0.17***	-0.36***
	(4.89)	(4.30)	(4.21)	(-4.21)	(7.02)	(3.08)	(3.80)	(-4.21)
H	1.87***	1.23***	1.32***	-0.55***	0.91***	0.28***	0.33***	-0.58***
	(5.49)	(4.96)	(4.81)	(-4.81)	(7.92)	(4.26)	(4.57)	(-6.08)
Panel C: Profitability								
L	1.99***	1.26***	1.25***	-0.74***	1.42***	0.59***	0.58***	-0.84***
	(4.99)	(3.95)	(3.79)	(-5.04)	(8.10)	(5.64)	(6.12)	(-6.80)
M	1.33***	1.06***	1.14***	-0.20**	0.53***	0.19***	0.25***	-0.27***
	(4.62)	(4.14)	(4.10)	(-2.36)	(6.91)	(3.26)	(3.27)	(-3.68)
H	1.51***	1.07***	1.10***	-0.41***	0.65***	0.22***	0.24***	-0.40***
	(5.25)	(4.72)	(4.56)	(-4.40)	(5.77)	(3.59)	(2.91)	(-4.58)
Panel D: IVOL								
L	1.02***	0.82***	0.87***	-0.15***	0.28***	0.05	0.08	-0.20***
	(4.69)	(4.14)	(4.31)	(-2.60)	(3.25)	(0.74)	(1.34)	(-3.08)
M	1.34***	1.06***	1.04***	-0.30***	0.52***	0.21***	0.18***	-0.34***
	(4.77)	(4.07)	(4.14)	(-4.00)	(6.45)	(3.89)	(3.11)	(-4.01)
H	2.14***	1.60***	1.56***	-0.59***	1.47***	0.82***	0.83***	-0.64***
	(4.62)	(3.89)	(3.68)	(-3.97)	(6.96)	(4.87)	(4.40)	(-4.51)

Table IA-11: Characteristic-based Benchmark Returns
This table presents the average monthly excess returns for three portfolios constructed based on firms' political partisanship. N are politically neutral firms, L are low partisanship firms, H are high partisanship firms, and H-N is the high-minus-neutral portfolio. Portfolios are rebalanced monthly. The sample covers the period from 1990 to 2022. I report the equally-weighted average return in excess of characteristic-based benchmarks following Daniel et al. (1997) and corresponding FF6 alpha. The *t*-statistics shown in parentheses are calculated using Newey-West corrected standard errors. I indicate significance at the 10%, 5%, and 1% level by *, **, and ***, respectively.

	N	L	H	H-N
E[R]-R_{BM}(%)	0.74***	0.32***	0.34***	-0.40***
	(9.78)	(6.66)	(5.65)	(-6.64)
α_{FF6}	0.72***	0.24***	0.27***	-0.45***
	(10.39)	(8.24)	(5.61)	(-7.29)

V. Investor Demand Statistics

This section provides descriptive statistics that complement the demand-system estimation introduced in Section 4.1. The statistics serve to characterize the investor-level input data used in the estimation and summarize the resulting distribution of estimated demand for political leaning.

Table IA-12 presents summary statistics on the institutional investor sample drawn from FactSet portfolio holdings, covering the period from 1999 to 2022.

Table IA-13 reports summary statistics on the estimated demand for political leaning across different investor types. While the average leaning across investor types is often close to neutral, a clear pattern emerges when examining the dispersion measures. Investor types typically associated with more active or discretionary investment strategies, such as hedge funds, private banking, brokers, and (by definition) active investment advisors, exhibit considerably greater heterogeneity in their estimated ideological preferences. This is evident in both the standard deviation and the range between the 25th (5th) and 75th (95th) percentiles. These findings align with the notion that more active investors are more likely to express ideological preferences through their portfolio choices, contributing to the observed pricing effects of political partisanship.

Table IA-12: Investor Characteristics
This table shows summary statistics on portfolio holdings of institutional investors. The provided statistics are computed each quarter across the different types of investors and then averaged over time. I report the number of individual investors (N), assets under management in USD Mill (AUM), and the total market share (AUM Share).

Type	N	AUM	AUM Share
Large-Passive IA	12	3,030,983.57	0.20
Small-Passive IA	828	2,105,481.93	0.14
Small-Active IA	821	1,864,009.12	0.13
Large-Active IA	13	1,642,777.69	0.11
Hedge Funds	436	435,805.52	0.03
Long-Term	74	458,877.17	0.03
Private Banking	562	449,382.42	0.03
Brokers	43	172,241.19	0.01
Public Funds	8	109,633.98	0.01
Residual Sector	1	4,322,524.96	0.31

Table IA-13: Summary Statistics on Demand for Political Leaning
This table shows summary statistics for the estimated demand for a certain political leaning across the different types of institutional investors. I report mean, standard deviation (Std), 5th percentile (P5), 25th percentile (P25), median, 75th percentile (P75), and 95th percentile (P95) of the estimated coefficient on firm-level political leaning.

Type	Mean	Std	P5	P25	Median	P75	P95
Large-Passive IA	0.03	0.06	-0.07	0.00	0.03	0.07	0.12
Small-Passive IA	0.04	0.09	-0.10	-0.02	0.04	0.09	0.19
Small-Active IA	0.03	0.12	-0.16	-0.04	0.03	0.11	0.23
Large-Active IA	-0.03	0.11	-0.22	-0.08	-0.02	0.05	0.13
Hedge Funds	-0.01	0.06	-0.11	-0.05	-0.01	0.03	0.10
Long-Term	0.03	0.06	-0.05	-0.00	0.02	0.06	0.12
Private Banking	0.03	0.11	-0.15	-0.04	0.03	0.10	0.20
Brokers	-0.01	0.08	-0.14	-0.06	-0.01	0.04	0.11
Public Funds	0.00	0.05	-0.09	-0.00	0.02	0.03	0.05
Residual Sector	0.06	0.05	-0.00	0.03	0.05	0.09	0.14

VI. Additional Empirical Results

VI.1. Forward-looking Proxy for Expected Returns

Throughout most of this paper's analysis, realized returns are used as proxies for expected returns. However, realized returns are contaminated by cash-flow and discount rate news, and if these news components do not cancel out on average, realized returns cannot be interpreted as unbiased proxies for expected returns (see Elton, 1999). To complement the baseline evidence, I therefore examine a forward-looking proxy, namely option-implied expected returns, in the spirit of Martin and Wagner (2019). Based on stock option prices, these expected returns are available for forecast horizons ranging from 30 to 730 days. I am grateful to the authors of Pasler et al. (2025) for providing this data for the universe of stocks covered by OptionMetrics with sufficient data quality.[3] Table IA-14 reports monthly panel regressions of annualized option-implied expected returns on firm-level partisanship across the five forecast horizons. The estimates are negative throughout, indicating that firms with a clearer partisan identity tend to exhibit lower forward-looking expected returns than politically neutral firms. However, this relation is statistically significant only at the longest, 730-day horizon. At this horizon, a stronger deviation from political neutrality is associated with 37 bp lower expected returns on average over time. This pattern is consistent with the view that short-horizon option-implied expected returns are comparatively noisy, whereas longer-horizon expected-return measures more clearly capture persistent valuation differences due to partisanship.

VI.2. Full Sample Political Stance

Some previous works investigating the political activities of firms and their executives used static measures, such as political contributions aggregated over the full sample period. Disregarding the variation over time, whether due to genuine ideological change or strategic considerations, and ignoring the forward-looking bias, this supposedly provides a clearer measure of true ideological leaning. Therefore, I redo the portfolio sorting using the partisanship measure for each firm, aggregated

[3] To reduce the impact of outliers, I winsorize the expected returns per forecast horizon at the 2.5% level in both tails.

Table IA-14: Option-Implied Expected Returns Regression

This table shows the results from monthly panel regressions, in which annualized option-implied expected returns, in the spirit of Martin and Wagner (2019), are regressed across different forecast horizons on firms' political partisanship. The sample covers the period from 1996 to 2022. I include month × industry fixed effects based on 2-digit SIC codes. The control variables are standardized. The *t*-statistics shown in parentheses are calculated using standard errors clustered at the firm and month level. I indicate significance at the 10%, 5%, and 1% level by *, **, and ***, respectively.

	30 days (1)	91 days (2)	182 days (3)	365 days (4)	730 days (5)
Partisanship	-0.32	-0.29	-0.27	-0.29	-0.37*
	(-0.76)	(-1.35)	(-1.50)	(-1.52)	(-1.72)
Log ME	-8.32***	-4.34***	-3.62***	-3.89***	-4.43***
	(-15.43)	(-14.66)	(-14.13)	(-14.12)	(-14.08)
Log B/M	3.74***	1.34***	0.80***	0.52**	-0.08
	(5.25)	(3.79)	(2.90)	(2.11)	(-0.39)
Profitability	-3.22***	-1.99***	-1.77***	-1.95***	-2.35***
	(-9.87)	(-10.93)	(-11.40)	(-11.74)	(-13.00)
Leverage	2.09***	0.88***	0.59***	0.43***	0.14
	(5.39)	(4.61)	(3.99)	(3.35)	(1.21)
Tangibility	-0.80***	-0.48***	-0.43***	-0.49***	-0.59***
	(-2.93)	(-3.49)	(-3.77)	(-4.02)	(-4.38)
Earnings Growth	-0.50	-0.22	-0.21	-0.15	-0.02
	(-1.59)	(-1.23)	(-1.30)	(-0.89)	(-0.13)
MOM	-2.62***	-1.30***	-1.00***	-0.93***	-0.84**
	(-5.18)	(-4.29)	(-3.64)	(-3.03)	(-2.42)
β_{MKT}	1.89***	1.45***	1.38***	1.36***	1.58***
	(4.90)	(5.53)	(5.66)	(5.20)	(5.12)
IVOL	7.19***	5.07***	4.67***	5.07***	5.88***
	(6.57)	(6.47)	(6.37)	(6.32)	(6.18)
Industry × Month FE	Yes	Yes	Yes	Yes	Yes
Observations	438,502	437,864	437,441	436,796	435,153
Adjusted R^2	0.36	0.44	0.47	0.48	0.52

over the full sample period. Table IA-15 shows that the main results are mostly robust to this change. The magnitude of the average returns of the partisanship portfolios is slightly higher, and consequently, the high-minus-neutral return is slightly reduced. This is expected, considering that the results of Section 4.3 show that this long-term average underperformance of partisan firms only realizes once firms actually start showing a deviation from a neutral stance.

Table IA-15: Full Sample Portfolio Sorting
This table presents the average monthly excess returns for three portfolios constructed based on firms' political partisanship aggregated over the full sample period. N are politically neutral firms, L are low partisanship firms, H are high partisanship firms, and H-N is the high-minus-neutral portfolio. Portfolios are equally weighted. The sample covers the period from 1990 to 2022. For each portfolio, I report the average excess return and FF6 alpha. The t-statistics shown in parentheses are calculated using Newey-West corrected standard errors. I indicate significance at the 10%, 5%, and 1% level by *, **, and ***, respectively.

	N	L	H	H-N
E[R]-R_f (%)	1.49***	1.24***	1.24***	-0.24**
	(4.64)	(4.60)	(4.41)	(-2.38)
α_{FF6}	0.80***	0.46***	0.44***	-0.36***
	(6.38)	(7.11)	(5.86)	(-3.44)

VI.3. Investors' Ideological Leaning

A key design choice in the alignment test of Table 8 is the percentile threshold used to classify a firm's shareholder base as ideologically tilted. The baseline specification uses the 25th and 75th percentiles of the cross-sectional distribution of aggregated investor demand to define Democratic- and Republican-leaning shareholder bases, respectively. To assess the sensitivity of this classification, Table IA-16 reports the coefficient on the partisanship-alignment interaction across a range of threshold percentiles, from the median (50/50) to the 10th/90th percentile.

Panel A uses the active-investor-restricted aggregation from the baseline panel specification. The interaction is economically small and statistically insignificant at the median cutoff, where the alignment dummy captures only mild tilts in investor demand. As the threshold becomes more extreme, the interaction coefficient increases monotonically in absolute value and becomes statistically significant from the (40,60) cutoff onward, reaching -0.63 at the (10,90) cutoff. This gradient confirms that the pricing effect is concentrated among firms whose shareholder base exhibits a strong, unambiguous ideological tilt, consistent with a mechanism that requires a meaningful demand wedge rather than marginal differences in investor composition.

Panel B repeats the exercise aggregating over all investors, including passive funds. The interaction coefficient is generally smaller in magnitude and achieves statistical significance only at more extreme thresholds (80/20 and 90/10), reinforcing the finding that the inclusion of passive investors dilutes the alignment signal. Panel C reports the corresponding estimates from Fama-MacBeth regressions with the active-investor restriction; the pattern closely mirrors that of Panel A.

VI.4. Subperiod Analysis

To assess the temporal stability of the partisanship discount, I re-estimate the baseline Fama-MacBeth regression over three subperiods that differ in the intensity of political polarization and the institutional environment for political giving. Table IA-17 reports the results.

Model (1) covers the pre-2011 period, which largely predates the Citizens United ruling and the subsequent expansion of Super PACs. The coefficient on partisanship is -0.17, indicating that the return differential is present even in an era of comparatively modest political giving and lower aggregate polarization. Model (2) covers 2011-2016, a period of rapidly increasing polarization and substantially higher donation volumes following the introduction of Super PACs. The coefficient remains negative with -0.10 but falls below conventional significance thresholds. This attenuation is consistent with the transitional dynamics implied by the demand-based mechanism: during a period when ideological demand is actively expanding, the inflow of alignment-motivated capital into partisan firms generates positive contemporaneous price pressure that partially offsets the steady-state discount in realized returns. This is precisely the effect documented in the contemporaneous polarization interaction in Model (2) of Table 9, where increases in polarization are associated with temporarily higher returns for partisan firms. The 2011-2016 subperiod thus represents a transition phase in which the equilibrium was shifting rather than set-

Table IA-16: Investors' Ideological Preferences Threshold Sensitivity
This table presents the coefficient on the interaction of firms' political partisanship and a measure of ideological alignment with investors from the regression model as in Model (2) of Table 8 in the main part. Each column represents a regression using different threshold percentiles to indicate the ideological leaning of a firm's shareholders based on aggregated stock-level investors' ideological preferences. If stock-level-aggregated investors' ideological preferences are below the left percentile, this indicates a Democratic leaning of a firm's shareholders. If stock-level-aggregated investors' ideological preferences are above the right percentile, this indicates a Republican leaning of a firm's shareholders. Panels A and B show the coefficients from panel regressions, whereas Panel C shows the coefficients from Fama-MacBeth regressions. In Panels A and C, the stock-level aggregation of investors' ideological preferences is restricted to active institutional investors. Panel B aggregates ideological preferences over all investors. The sample covers the period from 1999 to 2022. The t-statistics shown in parentheses are calculated using standard errors clustered at the firm and month level for the panel regression, and Newey-West corrected standard errors for the Fama-MacBeth regressions. I indicate significance at the 10%, 5%, and 1% level by *, **, and ***, respectively.

Threshold	(50,50)	(40,60)	(30,70)	(25,75)	(20,80)	(10,90)
Panel A: Panel Regression - Active Investors						
Partisanship ×	-0.01	-0.27**	-0.45***	-0.43***	-0.41***	-0.63***
Investor Alignment	(-0.09)	(-2.32)	(-3.75)	(-3.24)	(-3.10)	(-4.02)
Panel B: Panel Regression - All Investors						
Partisanship ×	-0.04	-0.08	-0.20	-0.17	-0.29**	-0.34**
Investor Alignment	(-0.28)	(-0.72)	(-1.57)	(-1.29)	(-2.27)	(-2.32)
Panel C: Fama-MacBeth Regression - Active Investors						
Partisanship ×	-0.03	-0.27**	-0.41***	-0.38***	-0.34**	-0.48***
Investor Alignment	(-0.25)	(-2.24)	(-3.69)	(-2.83)	(-2.57)	(-3.16)

tled, and the cross-sectional spread in realized returns understates the steady-state expected-return differential. Model (3) covers the post-2016 period, characterized by an elevated but more stable level of polarization. The coefficient is -0.23, the largest in absolute terms across the three subperiods. This is consistent with the steady-state prediction: once the transition to heightened polarization is largely complete, the valuation wedge is embedded in price levels, and the cross-sectional discount in realized returns re-emerges.

Overall, the subperiod results reinforce the state-dependent pricing documented in Section 4.2 and provide a natural temporal decomposition into a pre-transition phase (pre-2011, established discount), a transition phase (2011-2016, demand inflows masking the discount), and a post-transition phase (post-2016, discount at its most pronounced).

Table IA-17: Subperiod Fama-MacBeth Regression

This table shows the results from Fama-MacBeth regressions, where monthly excess stock returns are regressed on firms' political partisanship. The regressions are estimated cross-sectionally for each month over three different sample periods. Model (1) covers the period from 1990 until the end of 2010. Model (2) covers the period from 2011 until the end of 2016. Model (3) covers the period after 2016. All models control for the logarithm of market capitalization, the logarithm of book-to-market ratio, profitability, leverage, tangibility, earnings growth, momentum, market beta, and idiosyncratic volatility, and include industry fixed effects based on 2-digit SIC codes. The *t*-statistics shown in parentheses are calculated using Newey-West corrected standard errors. I indicate significance at the 10%, 5%, and 1% level by *, **, and ***, respectively.

	Pre 2010 (1)	Post 2010 (2)	Post 2016 (3)
Partisanship	-0.17***	-0.10	-0.23*
	(-2.75)	(-1.58)	(-1.85)
Controls	Yes	Yes	Yes
Industry FE	Yes	Yes	Yes
Observations	394,100	114,840	98,699
R^2	0.26	0.26	0.30

VI.5. Deviations from Neutrality

Table IA-18 reports a panel regression in which monthly returns are regressed on an indicator for the period after the first deviation from neutrality, alongside controls and fixed effects. Because the specification includes firm fixed effects, identification comes from within-firm changes around the onset of a salient partisan identity. I interpret this regression as a complementary within-firm timing check. It provides evidence that the same firm exhibits weaker returns after becoming politically non-neutral, consistent with event-time dynamics and the equilibrium mechanism in which a demand-driven valuation wedge is associated with lower subsequent returns.

Table IA-18: Partisanship Panel Specification
This table shows regression estimates of monthly returns on a dummy variable indicating the period after the initial deviation from neutrality. I control for the logarithm of market capitalization, the logarithm of book-to-market ratio, profitability, leverage, tangibility, earnings growth, momentum, market beta, and idiosyncratic volatility, and include month $\times$ industry fixed effects based on 2-digit SIC codes and firm fixed effects. The t-statistics shown in parentheses are calculated using standard errors clustered at the firm and year level. I indicate significance at the 10%, 5%, and 1% level by *, **, and ***, respectively.

Post	-0.19*
	(-1.70)
Controls	Yes
Industry $\times$ Month FE	Yes
Firm FE	Yes
Observations	607,639
Adjusted R^2	0.21

VI.6. Operating Performance

Evidently, the negative return differential could be driven by negative earnings surprises following a firm's salient political stance. To assess whether this is the case, I estimate annual panel regressions in which earnings surprises are regressed on the level of partisanship and political leaning with interaction terms, as in Section 5.3. Earnings surprises are defined following Foster et al. (1984). First, I subtract the average earnings-per-share growth over the preceding two years from the current earnings-per-share growth. Second, this value is standardized. In the first two columns of Table IA-19, I examine whether partisanship and the leaning direction can explain concurrent earnings surprises. In the third and fourth columns, I test whether partisanship and the direction of leaning can predict future earnings surprises. All regression setups indicate that neither partisanship nor ideological leaning significantly influences concurrent or future earnings surprises, providing further evidence that the partisanship discount in returns is not driven by a systematic worsening in earnings.

As a complementary check, I assess whether the partisanship discount is concentrated in politically sensitive industries, where CEO political activity may be more directly tied to regulatory outcomes and, in turn, to expected cash flows. If the return differential were driven by political connections or exposure to policy-sensitive sectors rather than demand-based pricing, one would expect the partisanship coefficient to be subsumed or significantly altered when interacting with industry sensitivity. I classify firms in coal, oil, utilities, healthcare, and defense as operating in politically sensitive industries based on the Fama-French 49 Industry classification. Table IA-20 reports the results from a Fama-MacBeth regression including a sensitive industry dummy and its interaction with partisanship. The interaction term is positive but statistically insignificant, indicating that the partisanship discount is not concentrated in or driven by politically sensitive sectors. The main effect of partisanship remains significantly negative, confirming that the return differential is a broad cross-sectional phenomenon rather than an artifact of sector-specific political risk or regulatory exposure.

Table IA-19: Earnings Surprise Regression

This table shows the results from annual panel regressions, where earnings surprises are regressed on firms' political partisanship and political leaning. Earnings surprises are defined following Foster et al. (1984) as the earnings growth minus average earnings growth over the preceding two years. In Models (1) and (2), the dependent variable is concurrent standardized earnings surprises. In Models (3) and (4), the dependent variable is standardized earnings surprises in the subsequent year. Models (1) and (3) include firms' political partisanship. Models (2) and (4) use firms' political partisanship interacted with the direction of the political leaning. The sample covers the period from 1990 to 2022. All models control for other firm characteristics, which are standardized, and include industry fixed effects based on 2-digit SIC codes and year fixed effects. The t-statistics shown in parentheses are calculated using standard errors clustered at the firm level. I indicate significance at the 10%, 5%, and 1% level by *, **, and ***, respectively.

	Current Earnings Surprise		Future Earnings Surprise	
	(1)	(2)	(3)	(4)
Partisanship	0.02		0.01	
	(1.16)		(0.40)	
Partisanship × Rep.		0.02		0.01
		(1.11)		(0.32)
Partisanship × Dem.		0.02		0.01
		(1.28)		(0.63)
Log ME	-0.005	-0.005	-0.002	-0.001
	(-1.55)	(-1.54)	(-0.58)	(-0.57)
Log B/M	0.01	0.01	0.01	0.01
	(0.87)	(0.87)	(0.89)	(0.89)
Profitability	0.03	0.03	0.01	0.01
	(1.20)	(1.20)	(1.02)	(1.02)
Leverage	0.01	0.01	0.003	0.003
	(1.11)	(1.11)	(1.17)	(1.17)
Tangibility	0.004	0.004	0.01	0.01
	(0.74)	(0.77)	(0.93)	(0.94)
Year FE	Yes	Yes	Yes	Yes
Industry FE	Yes	Yes	Yes	Yes
Observations	50,511	50,511	53,924	53,924
Adjusted R^2	0.001	0.001	0.0003	0.0003

Table IA-20: Fama-MacBeth Regression with Sensitive Industries
This table shows the results from Fama-MacBeth regressions, where monthly excess stock returns are regressed on firms' political partisanship and a dummy variable indicating whether the firm operates in a politically sensitive industry (coal, oil, utilities, health-care, defense) based on the Fama-French 49 Industry classification. The regressions are estimated cross-sectionally for each month over the sample period from 1990 to 2022. I control for the logarithm of market capitalization, the logarithm of book-to-market ratio, profitability, leverage, tangibility, earnings growth, momentum, market beta, and idiosyncratic volatility. The t-statistics shown in parentheses are calculated using Newey-West corrected standard errors. I indicate significance at the 10%, 5%, and 1% level by *, **, and ***, respectively.

Partisanship	-0.20***
	(-3.94)
Sensitive Industry	-0.09
	(-0.56)
Partisanship × Sensitive Industry	0.15
	(0.65)
Controls	Yes
Observations	607,639
R^2	0.25